BUY-SIDE EQUITY RESEARCH

Zeta Global Holdings Corp.

Identity graph, agentic decisioning, composition of growth

ZETA : NYSE | Marketing technology / data infrastructure

17 August 2026 | Internal use only — not investment advice

1 EXECUTIVE SUMMARY

Market cap: US$7.2-7.3bn (US$29.05 close, 14 Aug 2026)	Enterprise value: US$7.1-7.2bn (net cash ~US$90-112m)
Revenue FY25: US$1,305m (+29.7% y/y)	Revenue TTM Jun'26: US$1,571m (+35.9% y/y)
Gross margin Q2'26: 59.1% ex-D&A (62.1% Q2'25)	Operating margin Q2'26: 3.8% GAAP; 20.7% adj. EBITDA
FY26 revenue guide: US$1,811-1,824m (+39-40% rep., +24-25% org.)	FY26 adj. EBITDA guide: US$404.1-406.3m (22.1-22.4% margin)
FY26 FCF / GAAP EPS guide: US$254.8-255.8m / US$0.09-0.11	Share count: ~251m out. (227m Cl.A + 24m Cl.B); ~270m dil. EST.
Stock comp 1H26: US$105.1m (12.5% of revenue)	HQ: 3 Park Avenue, New York, NY

Position in the supply chain

Zeta does not own media, does not own the enterprise's customer relationship, and does not manufacture anything. It occupies the layer between the two: it takes a client's own first-party customer records, resolves them to persistent person-level identities inside its own graph, enriches them with signals the client does not have, decides what should be said to whom, and then pushes that decision out through whatever channel is cheapest -- email, on-site, mobile, connected television, social, direct mail. Upstream of Zeta sit the data suppliers, the publisher network that supplies fresh identity observations, third-party data centres, and now Palantir Foundry, onto which Zeta finished re-platforming its Data Cloud on 31 July 2026. Downstream sit the walled gardens and exchanges that Zeta buys inventory from on the client's behalf. The company describes itself as of August 2026 as an intelligent artificial intelligence (AI) infrastructure company; it was describing itself as an AI marketing cloud eight months ago. The re-labelling matters, because it is a claim about which multiple the revenue deserves.

Core thesis

The debate on Zeta is not whether it is growing -- reported growth is 44% year-on-year in the second quarter of 2026 with twenty consecutive beat-and-raise quarters behind it -- but what that growth is made of and what it converts into per share. Strip acquisitions and political candidate revenue and the organic rate is 24-25%, the acquired Marigold enterprise business is shrinking sequentially (US$55.6m in Q1'26 to US$48.1m in Q2'26), gross margin has given back roughly 300 basis points to agency social-channel mix, and guided FY26 free cash flow of ~US$255m sits against a stock-compensation run-rate of roughly US$210m. Against that, the identity asset is genuinely hard to replicate and the Palantir, OpenAI and Snowflake channels are explicitly excluded from guidance -- so the fair characterisation is a real asset attached to a reported growth rate that flatters it, where the tradeable question is which of those two the market prices when the acquisition base laps in FY27.

What this report argues that consensus does not

- The headline growth rate is decaying twice over, not once. Everyone knows the acquisition comparison laps. Less noticed: the acquired base is itself contracting quarter-on-quarter, so the inorganic contribution shrinks before the comparison even resets.
- Zeta's own balance sheet does not yet corroborate the infrastructure re-labelling. Deferred revenue was US$33.9m at 30 June 2026 -- 1.9% of annualised revenue, and DOWN from US$35.4m at 31 December 2025. A company migrating from discretionary marketing budget to contracted IT infrastructure should be building contract liabilities, not shrinking them.

- The widely-republished claim that Zeta 'missed EPS by 85%' in Q2'26 is a data artefact: a GAAP earnings per share (EPS) print of US$0.03 was compared against an adjusted consensus of ~US$0.20. Adjusted EPS was ~US$0.27. The company beat; the aggregator compared two different measures.
- The moat is a flow, not a stock. Identifiers churn, so the graph is only as good as the rate at which it is re-observed. That reframes publisher-network attrition and inbox-provider policy from peripheral risks into the central maintenance cost of the asset.

2 TECHNOLOGY DEEP-DIVE

ELI5 — What an identity graph actually is

Imagine a hotel that recognises you as the same guest whether you arrive by car, by train, or on foot, whether you booked on your laptop or your phone, and whether you gave your married name or your maiden name. It manages this because every one of those arrival routes is stapled to a single loyalty number. An identity graph is that stapling machine for the whole consumer internet: a giant table whose left column is a person and whose right column is every scrap of identifier that person has ever left behind -- email addresses, phone hashes, device numbers, television box identifiers. Zeta's business is that table, plus the judgement about what to do next once it knows who is standing at the desk.

The engineering problem: joining records without exchanging identities

Two parties each hold customer records and need to know which records refer to the same human, without either sending the other a list of names and email addresses. The mechanism is a cryptographic hash. An email address is passed through SHA-256 (Secure Hash Algorithm, 256-bit output), a one-way function: the same input always produces the same 256-bit digest, but the digest cannot be reversed to recover the input. Both parties hash independently and compare digests. A match is a match on the underlying person with certainty, and no personally identifiable information (PII) crossed the wire. The industry calls the output a hashed email, or HEM. This is deterministic matching.

The alternative is probabilistic matching: clustering records by internet protocol (IP) address, device model, time-of-day pattern, and behavioural co-occurrence, and asserting a link with a confidence score rather than a certainty. Probabilistic linkage is cheap and extends reach; it also degrades quietly, because a wrong link contaminates a profile with another person's behaviour and nothing in the system announces the error.

Why this mattered so much through the third-party cookie deprecation cycle is a point about identifier physics rather than about privacy law. A cookie is a small string a web server asks a browser to store and return on subsequent visits. It is scoped to one browser on one device, it is set by the server rather than supplied by the user, and it dies when the browser clears it, when the user switches device, or when the browser vendor decides to stop honouring it. A hashed email is the opposite on every axis: supplied by the user, stable across devices and browsers, durable for years, and independent of any browser vendor's policy. When Google, Apple and Mozilla made third-party cookies unreliable, the industry's addressable identity space collapsed toward whoever held authenticated, user-supplied identifiers at scale.

Where Zeta's identifiers are observed, and why the observation point is the asset

The LiveIntent acquisition (2024) is the part of the architecture that is genuinely difficult to reproduce, and the reason is mechanical. LiveIntent monetises advertising inside email newsletters across a network of roughly 2,000 to 2,500 premium publishers, including eight of the ten largest by Comscore ranking. When a subscriber opens a newsletter, the mail client fetches the advertisement from LiveIntent's server at render time. That fetch happens in an authenticated context -- the publisher knows which subscriber's copy is being rendered -- and it happens without a browser and without a cookie. The result is a continuous stream of roughly 235 million unique hashed email addresses observed per month, each observation timestamped and tied to a content context. Zeta reports the resulting Data Cloud as covering more than 245 million opted-in individuals in the United States and more than 535 million globally, with an average of roughly 2,500 attributes per profile and over one trillion content-consumption signals ingested monthly.

The critical and underappreciated property is that identity is a decaying asset. People change email addresses, replace phones, reset advertising identifiers and abandon newsletters. A graph that is not continuously re-observed becomes a graph of who people used to be. This is why the monthly observation rate, not the headline profile count, is the number that describes the moat -- and why publisher-network attrition and inbox-provider policy changes are first-order rather than peripheral risks. Zeta's own risk factors name the standards that inbox service providers adopt to regulate the use and delivery of email as a threat to platform effectiveness.

A signal, in engineering terms, is an event tuple appended to a profile: identifier, content class, timestamp, context. One trillion of those per month is not itself useful. The value is in the derived features -- recency, frequency and monetary decay curves, and the intent scores Zeta sells as Zeta Answers, which compress behavioural history into a probability that a given person is in-market for a given category now.

ELI5 — How Athena talks to the graph without leaking it

Think of a bank vault with a clerk at the window. You can ask the clerk questions in plain English -- 'how much did our lapsed customers in Ohio spend last quarter?' -- and the clerk goes into the vault, counts, and comes back with the number. You never go inside, and you never see another customer's file. The large language model is the clerk who understands your question; Zeta's own models are the counting machinery inside the vault. Management has been explicit that no large language model sees the contents of the Data Cloud.

Architecturally, Athena by Zeta is a natural-language front end that compiles a request into a query plan against the graph and returns aggregates. OpenAI models, under a collaboration announced at CES on 5 January 2026, power the conversational and voice layer -- intent parsing, dialogue state, phrasing. The decisioning inference that scores and selects audiences runs on Zeta's own models. The boundary is a retrieval boundary rather than a contractual promise, which is the technically meaningful distinction: row-level PII is never placed in a third-party model's context window, so an OpenAI outage or model change degrades the interface without touching the scoring engine. Two agentic applications, Insights and Advisor, entered beta at the same announcement; Athena reached general availability during the first quarter of 2026.

Product portfolio

Product line	What it does, and key specifications	Competes against
Zeta Data Cloud / SuperGraph / Zeta ID	The identity graph and its resolution engine. 245m+ US and 535m+ global opted-in profiles, ~2,500 attributes each, >1trn signals/month. Deterministic HEM anchor plus probabilistic extension to mobile advertising identifiers (MAIDs) and connected-television (CTV) IDs. Each Zeta ID is a cluster of linked identifiers for one person. Re-platformed onto Palantir Foundry, complete 31 Jul 2026	LiveRamp RampID, Experian, Acxiom (Interpublic), TransUnion TruAudience, The Trade Desk UID2
Zeta CDP+ (customer data platform)	System of record for client first-party data: ingests, resolves to Zeta ID, enriches with Zeta attributes, converts anonymous web traffic to known individuals, activates in real time. Scored top marks in data enrichment, audience segmentation and journey orchestration in the Forrester Wave for business-to-consumer CDPs, Q3 2024	Salesforce Data Cloud, Adobe Real-Time CDP, Twilio Segment, Treasure Data, Amperity
Zeta Marketing Platform (ZMP)	Orchestration and execution layer across email, on-site, mobile, inbox, CTV, social and direct mail. The commercial surface most customers buy first	Salesforce Marketing Cloud, Adobe Journey Optimizer, Braze, Klaviyo
Zeta DSP (demand-side platform)	Programmatic paid-media buying against Zeta-resolved audiences. This is where third-party media cost enters cost of revenues and where the reported revenue base includes pass-through economics	The Trade Desk, Google Display & Video 360, Criteo, Amazon DSP

Product line	What it does, and key specifications	Competes against
LiveIntent (acquired 2024)	Publisher-side email monetisation and the deterministic identity supply line: ~2,000-2,500 premium publishers, 8 of the Comscore top 10, ~235m unique HEMs observed monthly	Nativo, Jeeng, Google Ad Manager (newsletter inventory)
Marigold Enterprise (acquired 24 Nov 2025)	Marigold Loyalty, Cheetah Digital, Selligent, Sailthru, Liveclicker and Grow. Loyalty, omnichannel engagement and personalisation; brought Fortune 500 penetration and subscription revenue. Contributed US$48.1m in Q2'26	Salesforce Loyalty Management, SAP Emarsys, Antavo
Athena by Zeta	Agentic interface to the platform, voice and text. General availability in Q1'26; agentic apps Insights and Advisor. OpenAI models power conversation; Zeta models do decisioning	Salesforce Agentforce, Adobe AI Assistant, Braze AI
Zeta Business Intelligence (ZBI)	Extends the decisioning stack beyond marketing into general enterprise business intelligence. Launched 2026; the vehicle for the chief information officer / chief technology officer (CIO/CTO) sales motion and the Palantir joint pipeline	Palantir Foundry (partner and overlap), Snowflake Cortex, Databricks
Disqus (owned)	Commenting platform retained as a proprietary content-consumption signal source rather than a revenue product	Not applicable -- signal input, not a sold product

Why the agentic cycle changes the demand profile, and by how much

ELI5 — Seats versus answers

The old way to sell marketing software was to rent out desks: you pay per analyst who logs in, and each analyst spends two days building a customer segment by hand. The new way is to sell answers: you ask a question and get the segment in four seconds. The catch is that when answers get cheap, people ask far more questions -- and every question costs the vendor real computation. So revenue per customer goes up, and so does the cost of serving them. Whether that is a good trade shows up in gross margin, not in the revenue line.

The prior generation of marketing technology priced capability: seats, message volume, records stored. The customer's real cost was labour -- analysts constructing audiences. The agentic generation prices resolved decisions, and it moves three distinct quantities in Zeta's model.

- Query intensity per customer. In its first week of general availability Athena drove seven times more agent interactions and accounted for over 60% of Zeta's AI platform usage, per the company's Q1'26 filing. Voice-enabled users engage roughly five times more than non-Athena users. Every interaction is a query against the graph, so unit compute per dollar of revenue rises. This is why gross margin -- not revenue -- is the line that tests the thesis.
- Revenue per customer. Super-scaled customer average revenue per user (ARPU) reached US$1.8m in Q2'26, up 17% year-on-year, against the company's own 2028 model range of 12-16%. Super-scaled customer count reached 197, up 17%, against a 2028 model of 4-8%. For context on the pace of re-pricing, quarterly scaled-customer ARPU was US$467k in Q1'25 on the wider 548-customer definition. Customers using multiple use cases grew 90% year-on-year; average contract values on new business grew over 40%; the sales pipeline grew over 60% with pipeline creation per seller up over 100%.
- Identity of the buyer. The go-to-market motion now targets the CIO and CTO alongside the chief marketing officer. That is an attempt to move the budget line from marketing -- discretionary, cut first in a downturn -- to information technology, which is contracted and multi-year. If it works it is the single most valuable thing happening at the company, because it changes the durability of the revenue and therefore the multiple it deserves.

The intensity shift can be summarised as roughly 1.17 times revenue per existing logo per year, with roughly 1.4 times on new signings, achieved with a customer count growing at more than double the company's own long-range model -- while gross margin moved the other way by about 300 basis points. Adoption is also still shallow: 40% of super-scaled customers are monthly active users of Athena, and AI super-users already account for 75% of super-scaled revenue. Read constructively, 60% of the base has not yet adopted and the adopters are the best customers. Read sceptically, the same figures say revenue is concentrating in a cohort defined by the vendor, on a metric framework the vendor introduced in the quarter it wanted the market to focus on AI.

One test of the infrastructure claim is available now and does not depend on management framing. Contracted, multi-year infrastructure spend produces contract liabilities. Zeta's deferred revenue was US$33.9m at 30 June 2026 against US$35.4m at 31 December 2025 -- 1.9% of annualised revenue, and falling. Usage-based and monthly-billed models legitimately carry little deferred revenue, but that defence undercuts the infrastructure framing rather than supporting it. Until this line starts building, the re-labelling is a narrative about the multiple rather than a change in the contractual character of the revenue.

3 SUPPLY CHAIN MAPPING

ELI5 — A restaurant that grows nothing

Zeta buys no steel and runs no factory, so it is tempting to say it has no supply chain. It does. Think of a restaurant: the ingredients are data, the oven is somebody else's computers, and the delivery drivers are Google, Meta and the television networks. Zeta owns the recipe and the kitchen staff. If the ingredient supplier changes its terms, if the oven's landlord raises rent, or if the drivers start taking a bigger cut of every order, the margin moves -- and in the second quarter of 2026 the drivers took a bigger cut.

Input / dependency	Supplier	Single-source?	Risk and sensitivity
Compute and storage	Third-party data centres; hyperscaler mix not disclosed in public filings	Unknown	The company's own risk factors name disruption to third-party data centres, systems and technologies. Concentration cannot be assessed from public disclosure -- FLAGGED
Data governance and ontology layer	Palantir Foundry. Partnership announced 23 Jun 2026 at Cannes Lions; integration completed 31 Jul 2026	Yes	Zeta has re-platformed its principal asset onto a counterparty's stack. The counterparty sells its own ontology and AI platform into the same commercial accounts Zeta is now targeting with ZBI. Deepest structural dependency in the file
Conversational and voice inference	OpenAI, collaboration announced 5 Jan 2026	Yes, for the conversational layer	Model pricing, availability and version churn. Contained: decisioning inference is in-house, so a disruption degrades the Athena interface rather than the scoring engine
Warehouse interoperability	Snowflake	No	Databricks and BigQuery are substitutable. Commercial and go-to-market dependency rather than technical
Deterministic identity supply	LiveIntent publisher network: ~2,000-2,500 publishers, 8 of Comscore top 10	Concentrated, but owned	The observation rate, not the profile count, maintains the graph. Publisher churn shrinks monthly HEM observations and the asset decays over quarters, not years
Email deliverability and open observation	Gmail, Yahoo, Microsoft and other inbox service providers	Effectively single-source in aggregate (Gmail)	Named in Zeta's risk factors. A change to bulk-sender authentication, open-tracking or image proxying would hit both client campaign performance and the identity refresh rate at once. No contractual protection exists
Media inventory (integrated platform)	Meta, Google, TikTok, CTV owners, programmatic exchanges	No	This is the live margin problem. Agencies routing more spend through social channels cut gross margin ~300bps y/y in Q2'26
Third-party data enrichment	Partner ecosystem including Dun & Bradstreet for business data	No	Licence-cost inflation passes into cost of revenues; individual suppliers are replaceable
Proprietary signal source	Disqus (owned)	Owned	Declining comment-platform engagement would decay signal freshness without any external party's decision

Input cost sensitivity, quantified

Cost of revenues excluding depreciation and amortisation consists primarily of media and marketing costs -- fees paid to third-party publishers, media owners and strategic partners on revenue-share, cost-per-lead, cost-per-click or cost-per-thousand-impressions bases -- plus internet traffic costs and customer-facing employee costs. In Q2'26 that line was US$181.0m on US$442.8m of revenue, 40.9%, against 37.9% in Q2'25. At the FY26 guidance midpoint of US$1,818m, every 100 basis points of gross margin is worth approximately US$18.2m of gross profit, equivalent to about 4.5% of guided adjusted earnings before interest, taxes, depreciation and amortisation (EBITDA). The uncomfortable structural point is that the mix currently driving the revenue beats -- agency-routed social spend -- is the same mix that dilutes the margin, so revenue upside and margin downside arrive in the same quarter from the same cause.

Capital intensity is genuinely low and there is no physical production continuity risk: first-half 2026 capital expenditure was US$7.8m plus US$12.3m of capitalised website and software development, together 2.4% of revenue. The supply-chain exposure here is contractual and policy-driven, not logistical.

4 COMPETITIVE LANDSCAPE

ELI5 — Three kinds of rival, not one

Zeta competes with three different sorts of company at once, which is why simple comparisons mislead. First, the suite vendors -- think of a department store that already has your credit card on file and will throw in the item you wanted for almost nothing. Second, the specialists -- a single excellent shop that does one thing better but cannot do the rest. Third, the walled gardens -- the landlords who own the shopping street and will happily identify your customer for you, free, provided you buy the advertising from them.

Company	HQ	Revenue	Share position	Key differentiator	Weakness vs. Zeta
Zeta Global (ZETA)	New York, US	US$1,571m TTM Jun'26; FY26E US$1,811-1,824m	Reference point for this table	Owns the identity graph and the decisioning layer in one system; deterministic HEM supply via an owned publisher network	Lowest gross margin of the software comparison set (59% vs 67-75%); revenue base includes media pass-through; 93% United States
Salesforce (Marketing Cloud + Data Cloud)	San Francisco, US	Marketing-cloud-level revenue not separately disclosed; group revenue is roughly 25 times Zeta's total	Largest installed base in the category; share not measurable from disclosure -- FLAGGED	Incumbency in customer relationship management (CRM) plus Agentforce bundled into an existing seat base, so the buyer's marginal cash cost of adequate identity approaches zero	No owned consumer identity graph of comparable scale; the customer must supply the data. Slower to value; multi-product stitching
Adobe (Experience Cloud)	San Jose, US	Digital Experience segment revenue is the closest proxy; marketing-cloud line not separately disclosed -- approximately 4-5 times Zeta EST.	Co-leader with Salesforce in large-enterprise deployments	Real-Time CDP plus Journey Optimizer plus creative tooling; strongest content-production adjacency	Implementation-heavy and services-dependent; no proprietary opted-in consumer graph
Braze (BRZE)	New York, US	~US$780-820m TTM Aug'26; ~16-18% growth	About half Zeta's revenue and roughly one third the market capitalisation	Pure cross-channel engagement, clean subscription model, 67% gross margin, no media pass-through in the revenue base	No identity graph and no media execution, so it cannot sell the outcome -- only the tool. Growth less than half Zeta's reported rate
Klaviyo (KVYO)	Boston, US	~US$1.4bn TTM; FY26 guide US$1,526-1,534m; Q2'26 +26%	Comparable revenue scale to Zeta; roughly 60-70% of Zeta's market capitalisation	75% gross margin, 22% free-cash-flow margin, 109% dollar-based net revenue retention, Shopify-anchored distribution	Concentrated in small and mid-market e-commerce; enterprise credibility and identity depth well below Zeta's

Company	HQ	Revenue	Share position	Key differentiator	Weakness vs. Zeta
Criteo (CRTO)	Paris, France / New York	US$1.91bn TTM gross revenue; low single-digit growth	Larger gross revenue than Zeta on under one fifth the market capitalisation	Retail media network scale and an OpenAI commerce integration with over 2,000 brands running campaigns	The cautionary comparison rather than a threat: shows the multiple a media-mix revenue base receives once the market stops crediting it as software
LiveRamp (RAMP)	San Francisco, US	Roughly one third to one half of Zeta revenue EST.; not verified in this session -- FLAGGED	The neutral identity infrastructure incumbent	Neutrality: it does not compete with its customers for media budget, which is why agencies and walled gardens tolerate it	Sells connectivity, not outcomes; no execution layer and no decisioning revenue
Walled gardens and retail media (Meta, Google, Amazon, Walmart Connect)	US	Not comparable -- each dwarfs the category	Capture the majority of incremental digital advertising spend	Own first-party identity and supply it free at the point of ad purchase; unmatched match rates inside their own estate	Cannot resolve identity across the open internet or inside the client's own systems, which is precisely the gap Zeta sells into

The moat, and what it actually consists of

Zeta's defensibility is not patent intellectual property and it is not process know-how in the manufacturing sense. It is an accumulated observation asset with a distribution advantage attached. Reproducing 235 million monthly-observed hashed emails requires either acquiring a comparable publisher network -- and the eight-of-top-ten Comscore publishers are already contracted -- or accumulating opt-ins for a decade. The secondary layer is customer lock-in through CDP+ acting as the system of record: switching vendors means re-resolving identity from scratch and forfeiting the historical intent features that make the scores work, which is a genuine switching cost measured in quarters of degraded performance rather than in migration fees. The multi-use-case metric, up 90% year-on-year, is the right way to track whether that lock-in is deepening.

The important qualification is that this is a flow moat rather than a stock moat. A patent portfolio sits still and keeps working. An identity graph decays continuously as identifiers churn, so it must be re-observed to stay valuable. That has an investment implication: the moat has an ongoing maintenance cost embedded in cost of revenues and in the commercial terms Zeta must keep offering its publisher network, and it can erode in quarters if the observation channel is impaired. It also means the moat is only as durable as the legal premise underneath it -- that 245 million United States profiles are genuinely permission-based.

The most credible threat is not Braze or Klaviyo, which compete for a narrower job. It is Salesforce bundling Data Cloud and Agentforce into an existing CRM seat base at near-zero incremental price, because the buyer does not need Zeta's precision to be beaten -- only to be judged not worth a separate procurement cycle. Zeta's defence is quantified return on marketing spend, with management citing 600-700% returns effectively from day one and a 1,400% case at a large airline; that defence holds exactly as long as the attribution methodology survives audit by a sceptical procurement function. The second and more specific threat is Palantir itself, addressed in the risk section: Zeta has moved its crown-jewel asset onto Foundry and is selling business intelligence into Palantir's commercial base, which is where Palantir sells its own ontology and AI platform.

5 MANAGEMENT AND GOVERNANCE

ELI5 — Two ways to sell shares without selling shares

Suppose you own a valuable painting and want cash but do not want to be seen selling it. You can do two things. You can hand it to a bank as collateral for a loan -- you still own it and still hang it on your wall. Or you can agree today to hand it over in three years at a price fixed now, and take the money up front. In both cases you have the cash and you keep the painting on the wall. In August 2026 an entity connected to Zeta's chief executive did the second of those with a million shares, and pledged them as collateral as part of the same structure. He keeps the votes; the economics have largely been sold. Nothing about that is improper, but it will not appear in any screen labelled 'insider selling'.

Executive / director	Age	Tenure	Background	Relevance to the thesis
David A. Steinberg -- Co-Founder, Chairman and CEO	56	Co-founded 2007; CEO throughout	Serial entrepreneur; co-founded Zeta with John Sculley	Controls the company through Class B stock. The architect of the acquisition-led growth model and of the AI-infrastructure re-positioning
John Sculley -- Co-Founder, Vice Chairman and Director	n/a	Co-founded 2007	Former chief executive of Apple and president of PepsiCo	Credibility and enterprise access rather than operating involvement
Christopher Greiner -- Chief Financial Officer	50	Since 2020	Chief financial officer of LivePerson 2018 to March 2020; five years at Inovalon as chief product and operations officer then CFO; IBM 1999-2012; Computer Sciences Corporation 2012-2013	Owns the guidance architecture that has produced twenty consecutive beat-and-raise quarters, and has openly stated the guide carries a 2-5% cushion
Steven Gerber -- President	56	Since 2009	Senior vice president at Tranzact; management roles at Bain & Company and Digitas	Day-to-day operations, product and customer success; continuity through the entire scaling period
Christian Monberg -- Chief Technology Officer	n/a	n/a	Technology and product leadership	Owns the Foundry re-platforming and the Athena architecture
Robert H. Niehaus -- Director	n/a	n/a	Reported as a 10% owner and director	Large economic holder on the board: alignment, but also a related-party consideration in any capital-allocation decision

Guidance accuracy, and how to model a management team that sandbags

Twenty consecutive beat-and-raise quarters is not luck and should not be modelled as though it were. Q2'26 revenue of US$442.8m exceeded the guidance midpoint by US$23m, or 5%; Q1'26 revenue of US$396.3m cleared consensus by 7%; the chief financial officer stated on the Q2 call that the outlook retains a 2-5% cushion and assumes minimal contribution from the new partnerships. That is management telling the market in plain language that the guide is not the expectation. The correct handling is to add the cushion back rather than to layer additional conservatism on top of it: Q3'26 guidance of US$469-472m plus a historical beat of roughly 5% implies approximately US$493m, and the FY26 midpoint of US$1,818m implies something closer to US$1.85bn. The same logic applies to the Zeta 2028 medium-term model, whose own assumptions -- 4-8% super-scaled customer growth and 12-16% ARPU growth -- are running at less than half of delivered performance. Either the plan is sandbagged or current growth is not the plan; the evidence favours the former.

Capital allocation

- Marigold enterprise software business, closed 24 November 2025, for consideration of up to US$325m: US$100m cash plus 5,329,070 newly issued Class A shares at closing, plus seller notes of up to US$125m payable within three months, up to US$50m of which in cash and the remaining US$75m in cash or shares at Zeta's election. Acquisition-related liabilities fell from US$149.0m at December 2025 to US$24.8m current at June 2026, so the notes are substantially settled.

- LiveIntent acquired in 2024 -- on the evidence of the identity architecture, the better of the two deals and the one that bought a structural asset rather than a revenue base.
- US$100m repurchase programme authorised in November 2024 alongside approximately US$3m of insider purchases, in direct response to the Culper Research short report. First-half 2026 repurchases were US$55.6m, including 1.6m shares for US$29.9m in Q2'26.
- US$1bn credit facility closed 27 July 2026, refinancing the prior US$550m facility at lower spreads, explicitly earmarked for mergers and acquisitions, share repurchases and general corporate purposes. BofA Securities led, with Citi, JPMorgan, RBC and Truist as joint leads.
- No dividend, and capital expenditure of 2.4% of revenue. The capital-allocation model is acquisitions plus partial-offset buybacks, now with substantially more borrowing capacity behind it.

The buyback deserves a harder look than it usually gets. First-half repurchases of US$55.6m sit against first-half stock-based compensation of US$105.1m, so repurchases retired roughly 53% of the equity issued. Class A shares outstanding rose from approximately 221m to 227m over the same six months, derived from the US$0.001 par value on the balance sheet. The programme is therefore dilution mitigation rather than shareholder return, and it is not fully mitigating.

Insider ownership, recent transactions and governance

The share structure is dual-class: Class B carries ten votes per share against one for Class A, and converts one-for-one into Class A at the holder's option. Working from the June 2026 balance sheet, approximately 227m Class A and 24m Class B shares imply roughly 467m votes, of which the Class B block controls about 51% on approximately 10% of the economics. A February 2025 Schedule 13G amendment shows Steinberg-affiliated entities -- principally ACI Investment Partners plus family trusts and his spouse -- holding roughly 19.2m of the Class B, implying voting power in the low forties as a percentage of total votes before his Class A holdings. Whether that crosses an outright majority today cannot be established from public filings without a current beneficial ownership table, and secondary sources asserting majority control should be treated as unverified. Class B automatically converts on certain voting-power thresholds, on specified events affecting Steinberg, or on a majority vote of Class B holders. Independent directors chair the audit and compensation committees.

Recent insider activity is the more informative disclosure. On 14 August 2026, three days before this report, a Form 4 disclosed that Botticelli SPV LLC -- whose sole member is the Wynwood 2025 Irrevocable Trust -- entered a variable prepaid forward contract on 1,000,000 Class B shares, receiving an upfront cash payment of US$22.7m and pledging those shares as collateral while retaining voting and dividend rights. The same filing reported an internal transfer of 2,300,000 Class B shares from ACI Investment Partners to Botticelli, treated as a change in form of beneficial ownership, and gifts of 261,735 Class B shares between affiliated entities. On 6 May 2026 Steinberg reported bona fide gifts of 1,265,838 Class A shares. Aggregator commentary ahead of the Q2 print noted nineteen recent insider transactions on a net-sold basis. Public trackers showing Steinberg's stake at roughly 3.5m shares and US$86m are Form 4-derived and materially understate the entity-held Class B position -- treat those figures as unreliable.

The assessment. Competence and credibility are not in question: the operating record, the guidance discipline and the LiveIntent transaction all support it, and the partnership set assembled in 2026 would not have been available to a weak management team. Alignment is where the file is more complicated. The controlling shareholder retains near-majority voting power on roughly a tenth of the economics; a variable prepaid forward monetises a million shares of that economic exposure without registering as an open-market sale, executed in the month the stock reached a 52-week high; and stock compensation at 11.8% of Q2 revenue transfers value to employees at a rate buybacks only half offset. None of this is improper and prepaid forwards are routine for concentrated holders managing diversification and tax. The point for a buy-side file is narrower: the structures in use systematically make insider selling less visible than insider buying, so the standard screens will understate it.

6 FINANCIAL TRAJECTORY

ELI5 — Two sets of books, both legal

Zeta reports profit two ways. The generally accepted accounting principles (GAAP) version counts the shares it hands staff as a cost, because those shares are paid for by every other owner getting a slightly smaller slice. The adjusted version adds that cost back and calls it non-cash. Both are true statements. The adjusted number tells you whether the business model works; the GAAP number tells you what is left for you. In the second quarter of 2026 those two numbers were US$92m and US$8m.

Annual trajectory, GAAP (US$m)

Metric	FY21	FY22	FY23	FY24	FY25	TTM Jun'26
Revenue	458.3	591.0	728.7	1,006	1,305	1,571
Revenue growth	24.5%	28.9%	23.3%	38.0%	29.7%	35.9%
Gross margin (ex-D&A)	61.9%	63.5%	62.3%	60.3%	60.6%	59.5%
Operating income	(245.7)	(258.7)	(164.6)	(59.7)	28.8	53.4
Operating margin	(53.6)%	(43.8)%	(22.6)%	(5.9)%	2.2%	3.4%
Net income to common	(256.6)	(279.2)	(187.5)	(69.8)	(31.5)	(2.2)
EBITDA	(199.8)	(206.8)	(113.5)	(25.9)	80.3	115.9
Free cash flow	34.8	56.3	70.0	108.1	185.1	224.4
FCF margin	7.6%	9.5%	9.6%	10.8%	14.2%	14.3%
Wtd. avg. diluted shares (m)	87	139	157	186	221	234

Two features of this table carry the whole argument. The margin progression is real: operating income crossed into positive territory in FY25 for the first time and free-cash-flow margin has expanded every year since FY21. And the share count has grown from 87m to 234m over the same period, a compound rate that has absorbed a large part of the improvement. Cumulative net losses of roughly US$0.8bn across FY21-FY25 are why the accumulated deficit stands at US$1,064.9m.

Quarterly detail (US$m)

Quarter	Revenue	Rev. ex-M&A and political	Marigold contribution	Adj. EBITDA	Adj. EBITDA margin	GAAP net income
Q2'25	308.4	308.4	n/a	58.8	19.1%	(12.8)
Q3'25	337	317	n/a	n/a	n/a	n/a
Q4'25	395	354	18.6	n/a	n/a	n/a
Q1'26	396.3	341	55.6	66.1 (derived)	16.7% (derived)	(13.2) (derived)
Q2'26	442.8	395	48.1	91.7	20.7%	8.2

Q1'26 adjusted EBITDA, margin and net income are derived by subtracting reported Q2'26 figures from the reported six-month totals in the Q2'26 release, and reconcile to third-party reporting of US$66.1m. The ex-acquisition column stops deducting LiveIntent from Q1'26 onwards because the acquisition anniversary has passed, so the 2026 figures remove Marigold only.

The Marigold line is the most important number in this report and it is not in any headline. The acquired enterprise business contributed US$55.6m in Q1'26 and US$48.1m in Q2'26 -- down US$7.5m, or 13.5%, sequentially. Annualising the second-quarter run-rate gives roughly US$192m against consideration of up to US$325m. A single quarter is not a trend and there are benign explanations, including loyalty-programme seasonality and purchase-accounting effects in the first full quarter of ownership. But if the trajectory persists, the reported growth rate loses its inorganic support at the same time the comparison base laps in Q4'26 and Q1'27, which is a double compression rather than the single step-down consensus is modelling.

Management guidance and medium-term targets

Measure	Q3'26 guidance	FY26 guidance	Zeta 2028 model reference
Revenue	US$469-472m; +39-40% y/y; +23-24% ex-M&A and political	US$1,811-1,824m; +39-40% y/y; +24-25% ex-M&A and political	Framework rather than a revenue target
Adjusted EBITDA	US$115.0-116.0m; margin 24.4-24.7%; +47-49% y/y	US$404.1-406.3m; margin 22.1-22.4%; +45-46% y/y	Margin expansion pathway
Free cash flow	Not guided separately	US$254.8-255.8m; +55% y/y; margin 14.0-14.1%	n/a
GAAP EPS	Not guided separately	US$0.09-0.11, raised from US$0.02-0.04	n/a
Super-scaled customers	n/a	197 at Q2'26, +17% y/y	Model growth of 4-8% per annum
Super-scaled ARPU	n/a	US$1.8m at Q2'26, +17% y/y	Model growth of 12-16% per annum
Political candidate revenue	US$7m	US$8m in Q4'26; unchanged from original guide	Cyclical, excluded from organic framing

Balance sheet items that matter

- Cash of US$310.0m at 30 June 2026 against long-term borrowings of US$197.5m. Net cash is approximately US$112m on the reported borrowings, or approximately US$90m on the wider total-debt measure used by data providers, which includes lease obligations. Present both; the difference is definitional, not a discrepancy.
- The US$1bn credit facility closed 27 July 2026 sits after the balance-sheet date and is the mechanism that matters prospectively. It replaces US$550m and is earmarked for acquisitions and buybacks. It materially raises the probability that the reported growth rate is sustained by further acquisitions as the organic rate decelerates -- which is optionality and risk in the same instrument.
- Goodwill of US$524.7m plus intangible assets of US$185.4m equals US$710.1m, or 48% of total assets of US$1,467.8m, against total stockholders' equity of US$926.5m. No impairment has been recorded. A Marigold write-down would therefore land directly on a book-equity base that is already 77% intangible.
- Additional paid-in capital of US$1,997.5m against an accumulated deficit of US$1,064.9m: cumulative GAAP losses have consumed roughly 53% of everything ever contributed. Equity has been funded by issuance, not retention.
- Dilution is the recurring balance-sheet event. Shares outstanding rose approximately 15.7% year on year to roughly 249m by end-July per data-provider figures, and Class A shares rose from approximately 221m to 227m during the first half of 2026 alone.
- Stock-based compensation of US$105.1m in the first half, 12.5% of revenue, split across research and development at US$25.2m, selling and marketing at US$48.6m and general and administrative at US$30.9m. The research-and-development component grew 62% year on year, consistent with genuine engineering hiring rather than executive award inflation.
- Acquisition-related liabilities fell from US$149.0m current at December 2025 to US$24.8m current plus US$26.1m non-current, with US$50.8m of cash outflow through investing activities in the first half. The Marigold consideration is largely paid.

The cash-conversion question follows directly. Guided FY26 free cash flow of US$254.8-255.8m sits against an annualised stock-compensation run-rate of roughly US$210m. Free cash flow as defined excludes that cost because it is non-cash -- correctly, as a cash-flow statement matter. As an owner-earnings matter it is a real transfer: net of stock compensation, the same guided cash flow is approximately US$45m. At a market capitalisation of US$7.2-7.3bn the stock trades at approximately 28 times guided free cash flow and at a multiple of the stock-compensation-adjusted figure that no reasonable framework supports. Which of those two numbers is the right denominator is, in substance, the entire bull-bear debate.

7 NEAR-TERM CATALYSTS AND RISKS

Catalyst	Timing	Impact	Probability
Q3'26 results against the US$469-472m guide	~10 Nov 2026 (est.; not yet confirmed by IR)	A twenty-first consecutive beat extends the streak, but the CFO's stated 2-5% cushion means roughly US$493m is the effective bar. A print inside the guided range would read as a miss even though it is not one. The tradeable content is the Marigold line and the organic rate, not the headline	High for a beat; Medium for magnitude
Zeta Live 2026, David Geffen Hall, Lincoln Center, New York	8 October 2026	The venue where Athena was first shown. Expect ZBI positioning, Athena roadmap and any joint Palantir product detail. Historically a sentiment event rather than a numbers event	High for the event; Medium for stock impact
Palantir joint pipeline conversion	H2 2026 into 2027	Integration completed 31 July 2026 with two agreements already closed on a claimed 100% hit rate, and explicitly excluded from guidance. This is the largest unmodelled revenue source in the file and the only part of the story not already discounted by the beat-and-raise cadence	Medium
Initial FY27 guidance	February 2027	The first guide in which the Marigold comparison laps. Consensus must reconcile 39-40% reported 2026 growth against a mid-twenties organic base. The single largest scheduled re-rating or de-rating event in the next twelve months	High for the event; High for impact
Further acquisitions funded by the new US$1bn facility	Any time from 27 July 2026	Sustains the reported growth optics and the Rule of 64 framing; adds goodwill, integration risk and further share issuance if stock-funded, as Marigold partly was	Medium-High
OpenAI advertising monetisation	2026 into 2027	Management stated Zeta is already serving advertising through the relationship and described it as meaningful, with little embedded in guidance. Criteo's disclosure of over 2,000 brands on its own OpenAI commerce integration establishes the channel is real at scale	Medium
AI adoption and monetisation KPI framework	From Q3'26 reporting onwards	Introduced in Q2'26: 40% of super-scaled customers are monthly active Athena users and AI super-users drive 75% of super-scaled revenue. First disclosure set that makes the AI claim measurable -- and falsifiable. A decelerating cohort metric would undermine the re-rating faster than a revenue miss	High for disclosure; Medium for direction
United States midterm political cycle	Q3-Q4 2026	Guided at only US$7m in Q3 and US$8m in Q4, unchanged from the original outlook despite the election calendar. Consistent with the sandbagging pattern; a modest source of upside that does not change the organic argument	Medium

Key risks

1. The Marigold base is contracting, so the growth rate decays twice

The acquired Marigold enterprise business contributed US$55.6m in Q1'26 and US$48.1m in Q2'26, down US$7.5m sequentially. Consensus is modelling one step-down -- the comparison lapping in Q4'26 and Q1'27. If the sequential erosion continues, there are two: a smaller inorganic contribution arriving into a base that no longer benefits from the comparison. The specific thing to monitor is whether management continues disclosing the Marigold reconciliation line once it stops flattering the year-on-year figure. Its withdrawal would itself be the signal.

2. Agency social-channel mix compresses gross margin

Cost of revenues excluding depreciation and amortisation was 40.9% of revenue in Q2'26 against 37.9% a year earlier, roughly 300 basis points, attributed by management to agencies routing more spend through social channels -- Meta, Google and TikTok inventory purchased on the client's behalf at pass-through economics. Each 100 basis points is approximately US$18.2m of gross profit at guided revenue, or about 4.5% of guided adjusted EBITDA. The structural problem is that this mix is simultaneously the source of revenue upside and margin downside, so a strong revenue quarter mechanically produces a weaker margin quarter and management can always attribute the shortfall to success.

3. Palantir is simultaneously the distribution channel and the succession risk

Zeta completed re-platforming the Data Cloud onto Palantir Foundry on 31 July 2026 and is now selling Zeta Business Intelligence into Palantir's commercial customer base -- which management described as possibly the biggest opportunity the company has had. Palantir sells its own ontology and AI platform into that same base. Zeta has therefore accepted switching costs on its principal asset that it cannot easily reverse, in exchange for distribution controlled by a counterparty with both the technical capability and the commercial incentive to occupy the layer above. The stack now depends on three external parties at once -- OpenAI for conversation, Palantir for governance, Snowflake for interoperability -- and the correlated version of that risk is a single commercial renegotiation touching the whole architecture.

4. Salesforce and Adobe bundling toward zero marginal price

The displacement threat is not Braze or Klaviyo. It is Salesforce Data Cloud plus Agentforce priced as an increment on an existing CRM seat base, where the buyer does not need to conclude that Salesforce identity is better -- only that Zeta is not worth a separate procurement cycle, security review and integration project. Zeta's answer is quantified return on marketing spend, with management citing 600-700% returns from day one and a 1,400% case at a large airline reached through an agency partner. Those are attribution-model outputs, and attribution models are the first thing a sceptical procurement function audits when a renewal is contested.

5. Inbox-provider policy is an uncontracted single point of failure

Zeta's own risk factors name the standards inbox service providers adopt to regulate the use and delivery of email. A material share of the deterministic identity supply is observed at newsletter render time inside the LiveIntent network. A Gmail change to bulk-sender authentication requirements, open-tracking, or image proxying -- of the kind Google has implemented before without consultation -- would degrade client campaign deliverability and the hashed-email observation rate that refreshes the graph in the same quarter. Zeta has no contractual protection against a decision taken unilaterally by a party it does not pay and cannot negotiate with.

6. Stock compensation and per-share cash conversion

Guided FY26 free cash flow of US$254.8-255.8m sits against an annualised stock-compensation run-rate of approximately US$210m, based on US$105.1m in the first half. First-half repurchases of US$55.6m retired roughly 53% of the equity issued, and Class A shares outstanding still rose from approximately 221m to 227m in six months. On guided cash flow the market pays approximately 28 times; net of the equity that generated it, the same cash flow is approximately US$45m. This is not an accounting quibble -- it determines whether the free-cash-flow inflection that has driven the re-rating accrues to shareholders or to employees.

7. Controlled-company structure and low-visibility insider monetisation

Class B stock carries ten votes against Class A's one. On the June 2026 balance sheet the 24m Class B shares control approximately 51% of votes on approximately 10% of the economics. On 14 August 2026 an entity affiliated with the chief executive entered a variable prepaid forward contract on 1,000,000 Class B shares for US$22.7m of upfront cash, pledging those shares as collateral while retaining voting and dividend rights. Prepaid forwards are legitimate and common for concentrated holders managing diversification and tax, and the pledge retains the vote by design. The investment consequence is narrow but real: the instrument monetises economic exposure without appearing as an open-market sale, so conventional insider-transaction screens will systematically understate insider selling at this company relative to insider buying.

8. The opt-in premise underneath the entire asset

Everything in the Data Cloud rests on the claim that 245 million United States profiles are permission-based. The relevant risk is not incremental reach loss from a new privacy rule. It is a challenge to provenance: a state attorney-general action, a Federal Trade Commission consent decree, or an amendment to California Consumer Privacy Act and California Privacy Rights Act mechanics that required affirmative re-consent rather than honouring existing opt-ins would put the legal basis of the whole graph in question rather than trimming its edges. The November 2024 Culper Research short report already tested the market's willingness to underwrite that provenance; the company rejected the claims as false and objectively wrong, responded with a US$100m buyback and insider purchases, and the stock recovered. The episode did not resolve the question -- it established the drawdown shape if the question is asked again by a regulator rather than a short-seller.

8 VALUATION CONTEXT

ELI5 — Which shelf does this stock sit on?

The same company can be worth wildly different amounts depending on which aisle the market files it in. Filed under enterprise software, a fast-growing business with sticky customers earns a rich multiple. Filed under advertising services, a business that passes most of its revenue straight through to media owners earns a poor one. Zeta has spent 2026 arguing loudly that it belongs on the software shelf. Criteo, sitting on the advertising shelf with more revenue than Zeta and one fifth the market value, is what the other answer looks like.

Company	Market cap	Revenue	Growth	Multiples	End-market exposure
Zeta Global (ZETA)	US$7.2-7.3bn	US$1,571m TTM Jun'26; FY26E US$1,811-1,824m	+39-40% reported; +24-25% ex-M&A and political	~26.6x forward earnings; ~3.9x EV/FY26E sales; ~17.7x EV/FY26E adj. EBITDA; ~28x FY26E FCF	Enterprise marketing, moving toward business intelligence; ~93% United States; 59% gross margin with media pass-through in the base
Klaviyo (KVYO)	US$4.0-5.1bn (source and date dispersion)	~US$1.4bn TTM; FY26 guide US$1,526-1,534m	+26% in Q2'26	~3.0x EV/sales; ~18.7x EV/EBITDA	Small and mid-market e-commerce, Shopify-anchored; 75% gross margin; 22% FCF margin; 109% dollar-based net revenue retention
Braze (BRZE)	US$2.5-3.0bn (source and date dispersion)	~US$780-820m TTM Aug'26	~16-18%	~3.3x EV/sales; ~40x EV/EBITDA; ~52x trailing earnings	Cross-channel engagement, mid-market to enterprise; 67% gross margin; no media pass-through
Criteo (CRTO)	~US$1.26bn (4 Aug 2026)	US$1.91bn TTM gross revenue	Low single digit	Under 1x EV/gross sales	Retail media and performance advertising; OpenAI commerce integration with over 2,000 brands

The comparison that matters is Zeta against Klaviyo. Both are approaching US$1.5-1.8bn of revenue. Zeta trades at roughly 3.9 times forward sales against Klaviyo's 3.0, and the premium is being paid for a reported growth rate of 39-40%. On the organic rate of 24-25% the two companies grow at approximately the same pace -- and Klaviyo does it at a 75% gross margin against Zeta's 59%, with a 22% free-cash-flow margin against Zeta's guided 14%, and with a disclosed net revenue retention figure that Zeta does not publish. Braze provides the clean-model comparison: no media in the revenue base, 67% gross margin, and roughly a third of Zeta's market capitalisation on half the revenue. Criteo provides the downside anchor. The valuation question is not what Zeta is worth in isolation; it is which of those three comparison sets the market applies once the Marigold contribution stops supporting the headline.

Bull case

Organic growth holds in the mid-twenties while the partnership channels convert. Athena is used monthly by only 40% of super-scaled customers, yet AI super-users already generate 75% of super-scaled revenue -- so if the remaining 60% adopt at anything approaching similar intensity, ARPU compounds well above the 12-16% assumed in the 2028 model without a single new logo. The Palantir integration, complete since 31 July 2026 with two agreements closed and nothing in guidance, opens a commercial base of very large advertisers through a CIO and CTO motion that moves the budget line from discretionary marketing to contracted technology; deferred revenue starts building and the market migrates the multiple from the advertising shelf toward the infrastructure shelf. The US$1bn facility funds accretive tuck-ins on the LiveIntent template rather than the Marigold one. On FY27 revenue of roughly US$2.2bn at a 24% adjusted EBITDA margin, approximately US$530m of adjusted EBITDA at 20 times enterprise value supports an enterprise value well above today's, and the beat-and-raise cadence gives the market a reason every ninety days to keep paying for it.

Bear case

The reported growth rate is substantially an acquisition artefact that unwinds on a schedule. LiveIntent has already lapped, Marigold is shrinking sequentially and laps in Q4'26 and Q1'27, and February 2027 guidance forces an explicit reconciliation to a low-to-mid-twenties organic base with a gross margin drifting toward the high fifties as agency social mix grows. Stock compensation at roughly 12% of revenue means guided free cash flow of US$255m is approximately US$45m after the cost of the equity that produced it, and buybacks retire only half the issuance, so per-share cash generation is close to flat despite headline free-cash-flow growth of 55%. The company has moved its one genuinely scarce asset onto a partner's platform while selling into that partner's customer base; Salesforce prices adequate identity toward zero inside an existing seat base; the graph requires continuous re-observation through a channel governed by Gmail's policy decisions; and a dual-class structure gives roughly 51% of the votes to 10% of the economics while the controlling holder monetises through instruments that do not register as sales. De-rating triggers, in order of likelihood: a quarter that lands inside guidance rather than above it; withdrawal of the Marigold reconciliation disclosure; a decelerating Athena cohort metric in the new AI framework; or any regulatory challenge to the opt-in provenance of the Data Cloud.

9 WHAT MOVES IT NEXT — EARNINGS SIGNAL MAP

ELI5 — Why this section exists

You cannot read everything. Across a coverage universe there are more earnings reports each quarter than there are hours to think about them, and most of what is said on a call is noise you already knew. This section does the triage: for each name, the single number that would actually change your mind, the date it arrives, and what a surprise in either direction would mean. Read the one with the highest information content first, not the one you own the most of.

Company	Next earnings	Days away	The one metric	Why it matters
Zeta Global (ZETA)	~10 Nov 2026 (est.), Q3'26	~85	Revenue excluding M&A and political against the guide's implied 23-24% organic rate, and the Marigold contribution line (US$48.1m in Q2'26)	The guide carries a stated 2-5% cushion, so roughly US$493m is the effective bar and a beat is close to the base case. The information is in the organic rate and in whether Marigold falls a third consecutive quarter, which reframes FY27 before guidance is given
Palantir (PLTR) -- in coverage	~early Nov 2026 (est.), Q3'26	~78	United States commercial customer count and any named marketing or customer-data workload running on Foundry	Zeta's Data Cloud now runs on Foundry. Palantir's commentary on commercial ontology deals is a direct read-through to the ZBI pipeline Zeta has excluded from guidance -- and to whether Palantir intends to sell that layer itself rather than host it
Klaviyo (KVYO)	~early Nov 2026 (est.), Q3'26 vs US$377-381m guide	~79	Dollar-based net revenue retention, 109% in Q2'26, and growth in customers above US$50k annual recurring revenue, +36% in Q2'26	The cleanest available read on whether enterprise and mid-market marketing budgets are expanding or merely consolidating. Klaviyo retention rolling over while Zeta ARPU accelerates would isolate genuine share gain from category growth
Braze (BRZE)	~early Dec 2026 (est.), Q3 FY27	~110	Customers spending at least US$500k annually, and non-GAAP operating margin	Braze is the engagement-platform comparison with no media pass-through and no identity graph. If its large-customer growth stalls while Zeta's super-scaled count runs at +17%, the marketing-cloud replacement-cycle thesis is confirmed rather than asserted

Prioritisation, and read-across to the existing coverage universe

Read Palantir first, then Zeta -- which is counter-intuitive if Zeta is the position, but correct on information content. By the time Zeta reports in early November, the Palantir print will already have indicated whether the commercial-ontology channel that Zeta has explicitly excluded from guidance is converting, and that channel is the only part of the Zeta story not already discounted by twenty quarters of beat-and-raise. Zeta's own print is a high-probability beat with low information content: the streak, the disclosed 2-5% cushion and a 2028 model running at half of delivered performance make the headline nearly pre-announced. The two lines to read on the day are the organic growth rate and the Marigold reconciliation.

Two links into names already covered elsewhere in the universe are worth flagging explicitly. First, Palantir: this file now creates a direct dependency where none previously existed in the coverage set, and it runs in one direction only. Zeta's architecture depends on Foundry; Palantir's does not depend on Zeta. Any Palantir commentary about extending commercial offerings into customer-data or marketing decisioning is negative for Zeta at the moment it is positive for Palantir, so the two positions are not additive exposures to the same theme -- they are partially opposed. Second, the OpenAI advertising channel connects this name to the advertising-adjacent coverage: Criteo has disclosed over 2,000 brands running campaigns through its own OpenAI commerce integration, which establishes both that the channel is real and that it is not exclusive. Zeta describing its OpenAI advertising relationship as meaningful should be read against Criteo's disclosure as the benchmark for what that word is worth.

A APPENDIX A — VERIFICATION LOG

Report: Zeta Global Holdings (ZETA) initiation. Verification date: 17 August 2026. Companies referenced with data points: 8. Clean: 4. Estimated or derived: 9 items. Flagged: 7 items. Primary sources used: Q2'26 earnings release and financial statements (4 August 2026), FY2026 proxy statement, Schedule 13G/A (February 2025), Form 4 filings (6 May 2026 and 14 August 2026), Marigold completion release (24 November 2025), credit facility release (27 July 2026), and S&P Global Market Intelligence data via aggregator.

CLEAN — confirmed against primary sources

- ZETA ticker, exchange and headquarters: NYSE, 3 Park Avenue, 33rd Floor, New York, NY 10016. Founded 2007 by David A. Steinberg and John Sculley.
- All Q2'26 figures: revenue US$442.766m, cost of revenues ex-D&A US$180.997m, GAAP net income US$8.173m, adjusted EBITDA US$91.697m, free cash flow US$57.964m, stock compensation US$52.115m, cash US$309.952m, long-term borrowings US$197.481m, goodwill US$524.708m, intangibles US$185.350m, deferred revenue US$33.859m, accumulated deficit US$1,064.891m. Source: Q2'26 release financial statements.
- All guidance figures for Q3'26 and FY26, and the super-scaled customer and ARPU metrics. Source: Q2'26 release.
- Marigold consideration structure and closing date; the US$1bn credit facility closing 27 July 2026; executive ages, titles and biographies from the FY2026 proxy statement.

EST. / DERIVED — calculated in this report, not stated by the company

- Q1'26 adjusted EBITDA of US$66.1m, margin of 16.7% and net loss of US$13.2m: derived by subtracting reported Q2'26 from reported six-month figures. Reconciles to third-party reporting of US$66.14m.
- Marigold sequential decline of US$7.5m or 13.5%: derived from the company's own reconciliation table (US$55.6m Q1'26, US$48.1m Q2'26). The decline is arithmetic; the interpretation is this report's.
- Gross margin of 59.1% in Q2'26 versus 62.1% in Q2'25, and the ~300bps compression: computed from revenue and cost of revenues ex-D&A.
- Share count of approximately 251m (227m Class A plus 24m Class B): derived from US$0.001 par values on the June 2026 balance sheet. Diluted count of approximately 270m is EST. from the GAAP EPS rounding and is not disclosed.
- Voting arithmetic: 467m total votes and Class B at approximately 51% of voting power. Derived from the share counts above and the ten-to-one ratio.
- Stock-compensation run-rate of approximately US$210m for FY26: annualised from H1 actual of US$105.1m. The company guided US$190m for FY25 but has not published an FY26 figure in the sources reviewed.
- Market capitalisation of US$7.2-7.3bn: computed at the US$29.05 close of 14 August 2026 on 249-251m shares. Range reflects the share-count derivation, not price movement.
- Sensitivity of approximately US$18.2m of gross profit per 100bps of margin: computed on the FY26 guidance midpoint.
- All next-earnings dates in Section 9 are estimates from prior-quarter cadence. Zeta's Q3 date is not confirmed by investor relations; one aggregator lists 10 November 2026.

FLAGGED — conflicting, unverifiable, or requiring user judgement

- Steinberg's current voting percentage. The February 2025 Schedule 13G/A implies roughly 19.2m of 24m Class B shares held through affiliated entities, giving voting power in the low forties as a percentage of total votes. Secondary sources assert outright majority control. Not resolvable without a current beneficial ownership table; treat majority-control claims as unverified.
- Public insider trackers show Steinberg holding approximately 3.5m shares worth US$86m. This is Form 4-derived and materially understates entity-held Class B. Do not use.
- Cloud and data-centre provider concentration is not disclosed in the sources reviewed. The company names third-party data centres in its risk factors without identifying them.

- Salesforce and Adobe marketing-cloud revenue is not separately disclosed, so category market share cannot be computed. The Adobe Digital Experience proxy figure is EST. and should not be relied on.
- LiveRamp revenue was not verified in this session; the comparison in Section 4 is directional only.
- Klaviyo and Braze market capitalisations diverge materially by source and date (Klaviyo US$3.97bn at 22 June versus US$5.1bn at 14 July; Braze US$2.53bn at 22 July versus US$3.0bn at 10 August). Presented as ranges rather than point estimates.
- The Culper Research short report is dated November 2024 in primary coverage, but at least one aggregator republished the episode with a 2026 date. Treat republication dates on that event as unreliable. This report makes no assessment of the report's allegations, only of the market's reaction to them.

CORRECTIONS APPLIED

One correction of a widely-circulated figure. Multiple outlets reported that Zeta missed second-quarter earnings per share by approximately 85%, comparing a GAAP print of US$0.03 against an adjusted consensus near US$0.20. Those are different measures. Adjusted earnings per share was approximately US$0.27, above consensus, and GAAP net income of US$8.2m was itself the first positive quarterly GAAP result, against a US$12.8m loss a year earlier. The reported miss did not occur; it is a measure-mismatch artefact in aggregator data. No other corrections were required.

B APPENDIX B — ACRONYM GLOSSARY

Acronym	Full term	Note
ACV	Average contract value	Zeta reported new-business ACV up over 40% y/y in Q2'26
AI	Artificial intelligence	
ARPU	Average revenue per user	Zeta computes it per super-scaled customer, per quarter
CCPA / CPRA	California Consumer Privacy Act / California Privacy Rights Act	The principal United States state privacy regimes governing opt-out mechanics
CDP	Customer data platform	Zeta's product is CDP+
CIO / CTO	Chief information officer / chief technology officer	The new buyer Zeta's go-to-market targets alongside the chief marketing officer
CPC / CPL / CPM	Cost per click / cost per lead / cost per thousand impressions	The bases on which Zeta pays publishers and media owners
CRM	Customer relationship management	Salesforce's incumbency asset
CTV	Connected television	An activation channel and an identifier space
EBITDA	Earnings before interest, taxes, depreciation and amortisation	Zeta's adjusted version also excludes stock compensation and other items
EPS	Earnings per share	Source of the Q2'26 measure-mismatch described in Appendix A
EV	Enterprise value	
FCF	Free cash flow	Zeta defines it as operating cash flow less capital expenditure and capitalised software, adjusted for exchange effects
FTC	Federal Trade Commission	
GAAP	Generally accepted accounting principles	
HEM	Hashed email	The deterministic identity key; a SHA-256 digest of an email address
IP	Internet protocol	As in IP address, used in probabilistic matching
LLM	Large language model	OpenAI models power Athena's conversational layer only

Acronym	Full term	Note
MAID	Mobile advertising identifier	Device-level identifier used to extend the graph
NRR	Net revenue retention	Disclosed by Klaviyo at 109%; not disclosed by Zeta
PII	Personally identifiable information	
ROI	Return on investment	Basis of Zeta's 600-700% return-on-marketing-spend claim
SBC	Stock-based compensation	US$105.1m in H1'26, 12.5% of revenue
SHA-256	Secure Hash Algorithm, 256-bit output	One-way function producing the hashed email
TTM	Trailing twelve months	
ZBI	Zeta Business Intelligence	Launched 2026; the vehicle beyond marketing
ZMP	Zeta Marketing Platform	The orchestration and execution surface

C APPENDIX C — DISCLAIMER

This document is internal buy-side research prepared for the recipient's own investment process. It is not investment advice, not a recommendation to buy or sell any security, and not a solicitation. Consistent with house convention it contains no price target and no buy, sell or hold rating. Figures are drawn from company filings and releases, the FY2026 proxy statement, Form 4 and Schedule 13G filings, and third-party market data as at 17 August 2026; market data reflects the close of 14 August 2026. Items marked EST. are the author's derivations and items marked FLAGGED are unresolved or conflicting and should be independently confirmed before being relied upon. Forward-looking statements attributed to management are the company's, not the author's, and are subject to the risk factors in its filings.